



CA INTER UDESH REGULAR SEP 2026 (Group 1)

03/05/2026

Master Test – 2

ANSWER KEY

1(a).

(i). (C)

(ii). (A)

(iii). (B)

(iv). (D)

1(b). (B)



Hints & Solution

1(a). (H & S)

Trade Receivable

	Foreign Currency Rate	In INR
Initial recognition of Trade Receivables = US\$ 8816 (7,00,000/79.4)	US \$ 1 = 79.4	700,000
Rate on 31 st March	US \$ 1 = 83.3	7,34,383
Exchange Difference Gain US \$8816* (83.3-79.4)		34,383

Loan

	Foreign Currency Rate	In INR
Initial recognition of Loan = US\$ 12330 (10,00,000/81.1)	US \$ 1 = 81.1	10,00,000
Rate on 31 st March	US \$ 1 = 83.3	10,27,127
Exchange Difference Loss US \$12330* (83.3-81.1)		27,127

1(b). (H & S)

Profit on Contract = Contract Price - Cost of Contract

Contract price = Rs 350 lakhs

Contract Cost = Rs 125 lakhs (Material) - Rs 22 lakhs (unused Material) + Rs 95 lakhs (Labour) + Rs 115 lakhs (estimated future cost) + Machinery depreciation (Rs 210 lakhs * 4 years /20 years) = 355 Lakhs

= Rs 350 lakhs - Rs 355 lakhs = -5 Lakhs (Loss)

2. (H & S)

(a) No. of shares issued by Black Ltd. to White Ltd. against purchase consideration

White Ltd.	₹	₹
Goodwill		2,40,000
Property, plant and equipment	24,00,000	
Less : Depreciation [24,00,000 × 10 % × 3/12]	(60,000)	
	23,40,000	
Add : Appreciation	1,20,000	24,60,000
Inventory		7,20,000
Trade receivables		10,80,000
Cash and Bank balances	4,20,000	
Add : Profit after depreciation 2,40,000		
Add : Depreciation (non-cash) 60,000	3,00,000	
Less : Dividend [36,00,000 × 10%]	(3,60,000)	3,60,000
		48,60,000
Less : Trade payables		(3,60,000)
Purchase Consideration		45,00,000
Number of shares to be issued by Black Ltd. @ ₹ 100 each		45,000 shares



(b) Calculation of Net Current Assets as on 01.07.2020

		Black Ltd.		White Ltd.
Current assets :				
Inventory		9,60,000		7,20,000
Trade Receivable		16,80,000		10,80,000
Cash and Bank	14,40,000		4,20,000	
Less : Dividend (Capital * 10%)	(6,00,000)		(3,60,000)	
Add : Profit after depreciation	4,80,000		2,40,000	
Add : Depreciation being non cash	90,000	14,10,000	60,000	3,60,000
		40,50,000		21,60,000
Less : Trade payables		(6,00,000)		(3,60,000)
		34,50,000		18,00,000

(c) Profit and Loss Account balance of Black Ltd. as on 1.07.2020

P & L A/c balance as on 31.03.2020	7,20,000
Less : Dividend paid	(6,00,000)
	1,20,000
Add : Estimated profit for 3 months after charging depreciation	4,80,000
	6,00,000

(d) Property, plant and equipment as on 01.07.2020

Property, plant and equipment of Black Ltd. as on 31.03.2020		36,00,000
Less : Depreciation for 3 months $(36,00,000 \times 10\% \times 3/12)$		(90,000)
		35,10,000
PPE of White Ltd. taken over as on 31.03.2020	24,00,000	
Less : Proportionate depreciation for 3 months	(60,000)	
	23,40,000	
Add : Appreciation above the estimated book value	1,20,000	24,60,000
Total Property, plant and equipment as on 1.7.2020		59,70,000

3. (H & S)

Journal Entries

		₹ '000	₹ 000
(i)	Equity share capital (₹ 10) A/c Dr.	35,000	
	To Equity Share Capital (₹ 4) A/c		14,000
	To Capital Reduction A/c		21,000
	(Being conversion of equity share capital of ₹ 10 each into ₹ 4 each as per reconstruction scheme)		
(ii)	8% Cumulative Preference Share capital (₹ 100) A/c Dr.	17,500	
	To 8% Cumulative Preference Share Capital (₹ 60) A/c		10,500
	To Capital Reduction A/c		7,000
	(Being Conversion of 8% cumulative preference shares capital of ₹ 100 each into ₹ 60 each as per reconstruction scheme)		
(iii)	6% Debentures (₹ 100) A/c Dr.	14,000	
	To 9% Debentures (₹ 80) A/c		11,200
	To Capital Reduction A/c		2,800
	(Being 9% debentures of ₹ 80 each issued to existing 6% debenture holders.)		



	The balance transferred to capital reduction account as per reconstruction scheme)		
1	(iv) Sundry Creditors A/c Dr.	7,000	
	To Equity shares Capital (₹ 4) A/c		3,500
	To Capital Reduction A/c		3,500
	(Being a creditor of ₹ 70,00,000 agreed to surrender his claim by 50% and was allotted 8,75,000 equity share of ₹4 each in full settlement of his dues as per reconstruction scheme)		
1	(v) Provision for Taxation A/c Dr.	350	
	Capital Reduction A/c Dr.	175	
	To Liability for Taxation A/c		525
	(Being conversion of the provision for taxation into liability for taxation for settlement of the amount due)		
1	(vi) Liability for Taxation A/c Dr.	525	
	To Current Assets (Bank A/c)		525
	(Being the payment of tax liability)		
1	(vii) Capital Reduction A/c Dr.	34,125	
	To P & L A/c		2,100
	To Property, Plant & Equipment A/c		8,750
	To Current Assets A/c [(35,000 – 525) – 15750]		18,725
	To Investments A/c		175
	To Capital Reserve A/c (Bal. fig.)		4,375
	(Being amount of Capital Reduction utilized in writing off P & L A/c (Dr.) Balance., Property, Plant & Equipment, Current Assets, Investment and the Balance transferred to Capital Reserve)		

Working Note :

Capital Reduction Account

3	To Liability for taxation A/c	175	By Equity share capital	21,000
	To P & L A/c	2,100	By 8% Cumulative preferences	7,000
	To Property, Plant & Equipment	8,750	Share capital	
	To Current assets	18,725	By 6% Debentures	2,800
	To Investment	175	By Sundry creditors	3,500
	To Capital Reserve (Bal. fig)	4,375		
		34,300		34,300

4. (H & S)

Statement determining the maximum of shares to be bought back

Particulars	When loan fund is		
	₹ 5,400 lakhs	₹ 3,600 lakhs	₹ 4,500 lakhs
Shares Outstanding Test (W.N. 1)	24,75	24,75	24,75
Resources Test (W.N. 2)	18.75	18.75	18.75
Debt Equity Ratio Test (W.N. 3)	Nil	11.25	Nil
Maximum number of shares that can be bought back (least of the above)	Nil	11.25	Nil



Journal Entries for the Buy-Back (applicable only when loan fund is ₹ 3,600 lakhs)

₹ in lakhs

1
each

	Particulars		Debit	Credit
(a)	Equity share capital account	Dr.	112.50	
	Securities premium account	Dr.	225.00	
	To Equity share buy-back account			337.5
	(Being cancellation of shares bought back)			
(b)	Equity share buy-back account	Dr.	337.50	
	To Bank account			337.50
	(Being buy-back of 11.25 lakhs equity shares of ₹ 10 each @ ₹ 30 per share)			
(c)	General reserve account	Dr.	112.50	
	To Capital redemption reserves account			112.50
	(Being transfer of free reserves to capital redemption to the extent of nominal value of share capital bought back out through free reserves)			

Notes :

- In place of entry (a), Alternative set of entries can be given as follows :

Equity share capital A/c	Dr.	112.50	
Premium payable on buy-back	Dr.	225.00	
To Equity shares buy-back A/c			337.50
(Being the amount due on buy-back of equity shares)			
Securities Premium A/c	Dr.	225.00	
To Premium payable on buy-back			225.00
(Being premium payable on buy-back charged from Securities Premium)			

- In place of entry (c), Alternative set of entries can be given as follows :

Securities Premium A/c	Dr.	45.00	
General Reserve A/c	Dr.	67.50	
To Capital Redemption reserve A/c			112.50
(Being transfer of free reserves to capital redemption reserve to the extent of nominal value of share capital bought back out through free reserves)			

Working Notes :

- Shares Outstanding Test

Particulars	(Share in lakhs)
Number of shares outstanding	99
25% of the shares outstanding	24.75

- Resources Test

Particulars	₹
Paid up capital (₹ in lakhs)	990
Free reserves (₹ in lakhs) (720 + 270 + 270)	1260
Shareholder's funds (₹ in lakhs)	2250
25% of Shareholders fund (₹ in lakhs)	₹ 562.5 lakhs
Buy-back price per share	₹ 30
Number of shares that can be bought back (shares in lakhs)	18.75 lakhs shares



3. Debt Equity Ratio Test

	Particulars	When loan fund is (all ₹ are in lakhs)		
		5,400	3,600	4,500
(a)	Loan funds	5400	3600	4500
(b)	Minimum equity to be maintained after buy-back in the ratio of 2 : 1	2700	1800	2250
(c)	Present equity shareholders fund	2250	2250	2250
(d)	Future equity shareholder fund	N.A.	2137.5 (2250 - 112.5)	N.A.
(e)	Maximum permitted buy-back of Equity [(d) - (b)]	Nil	337.5 (by simultaneous equation)	Nil
(f)	Maximum number of shares that can be bought back @ ₹ 30 per share (shares in lakhs) (See Working Note)	Nil	11.25 (by simultaneous equation)	Nil

Under Situations 1 & 3 the company does not qualify for buy-back of shares as per the provisions of the Companies Act, 2013.

Working Note: Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

Suppose amount equivalent to nominal value of bought back shares transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then Equation 1: (Present equity – Nominal value of buy-back transfer to CRR) – Minimum equity to be maintained = Maximum permissible buy-back of equity

$$(2250 - x) - 1800 = y \quad (1)$$

$$\text{Since } 450 - x = y$$

Equation 2 : (Maximum Buy-back/Offer Price for Buy-back x Nominal Value)

= Nominal value of the shares bought-back to be transferred to CRR

$$= (y/30 \times 10) = x \quad \text{or}$$

$$= 3x = y \quad (2)$$

By solving the above two equation we get

$$x = ₹ 112.5 \text{ lakhs}$$

$$y = ₹ 337.5 \text{ lakhs}$$

5(a). (H & S)

- (1) Trade discounts and volume rebates received are not encompassed within the definition of revenue, since they represent a reduction of cost. Trade discounts and volume rebates given should be deducted in determining revenue.
- (2) When goods are sold to distributor or others, revenue from such sales can generally be recognized if significant risks of ownership have passed; however, in some situations the buyer may in substance be an agent and in such cases the sale should be treated as a consignment sale.
- (3) For transactions, where seller concurrently agrees to repurchase the same goods at a later date that are in substance a financing agreement, the resulting cash inflow is not revenue as defined and should not be recognized as revenue.
- (4) Insurance agency commissions should be recognized on the effective commencement or renewal dates of the related policies.
- (5) On 11.03.2019, if X mart takes title and accepts billing for the goods then it is implied that the sale is complete and all risk and reward on ownership has been transferred to the buyers. Revenue should be recognized for year ended 31st March, 2019 notwithstanding that physical delivery has not been completed so long as there is every expectation that delivery will be made and items were ready for delivery to the buyer at the time.

**5(b). (H & S)**

- 1 { (a) In the given case, Mobile limited created 2% provision for doubtful debts till 31st March, 2019. Subsequently in 2019-20, the company revised the estimates based on the changed circumstances and wants to create 3% provision.
Thus change in rate of provision of doubtful debt is change in estimate and is not change in accounting policy. This change will affect only current year.
- 1 { (b) As per AS 5, the adoption of an accounting policy for events or transactions that differ in substance from previously occurring events or transactions, will not be considered as a change in accounting policy. Introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement is a transaction which is substantially different from the previous policy, will not be treated as change in an accounting policy.
- 1 { (c) Change in useful life of furniture from 5 years to 3 years is a change in estimate and is not a change in accounting policy.
- 1 { (d) Adoption of a new accounting policy for events or transactions which did not occur previously should not be treated as a change in an accounting policy. Hence the introduction of new pension scheme is not a change in accounting policy.
- 1 { (e) Change in cost formula used in measurement of cost of inventories is a change in accounting policy.

6(a). (H & S)

As per AS 17 'Segment Reporting', a business segment or geographical segment should be identified as a reportable segment if:

- 1 { • Its revenue from sales to external customers and from other transactions with other segments is 10% or more of the total revenue- external and internal of all segments; or
- 1.5 { • Its segment result whether profit or loss is 10% or more of:
- The combined result of all segments in profit; or
- The combined result of all segments in loss, whichever is greater in absolute amount; or
- 1.5 { • Its segment assets are 10% or more of the total assets of all segments.
On the basis of revenue criteria, segments A, B, C and D - all are reportable segments.
On the basis of the result criteria, segments A, B and C are reportable segments (since their results in absolute amount is 10% or more of 125 Lakhs).
- 1 { On the basis of asset criteria, all segments except D are reportable segments.
Since all the segments are covered in at least one of the above criteria, all segments have to be reported upon in accordance with Accounting Standard (AS) 17.

6(b). (H & S)

- 0.5 { An enterprise should include the following information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event (as defined in paragraph 15) occurs:
- 0.5 each { a) a description of the discontinuing operation(s);
b) the business or geographical segment(s) in which it is reported as per AS 17, Segment Reporting;
c) the date and nature of the initial disclosure event;
d) the date or period in which the discontinuance is expected to be completed if known or determinable;
e) the carrying amounts, as of the balance sheet date, of the total assets to be disposed of and the total liabilities to be settled;
f) the amounts of revenue and expenses in respect of the ordinary activities attributable to the discontinuing operation during the current financial reporting period;



- 1 { g) the amount of pre-tax profit or loss from ordinary activities attributable to the discontinuing operation during the current financial reporting period, and the income tax expense related thereto; and
- 0.5 { h) the amounts of net cash flows attributable to the operating, investing, and financing activities of the discontinuing operation during the current financial reporting period.



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